

A ROCKY RIDE

Zee has had a tough time since it announced its merger with Sony. A timeline of recent challenges

2022

DECEMBER

IDBI opposes Zee-Sony merger at NCLT

2023

FEBRUARY

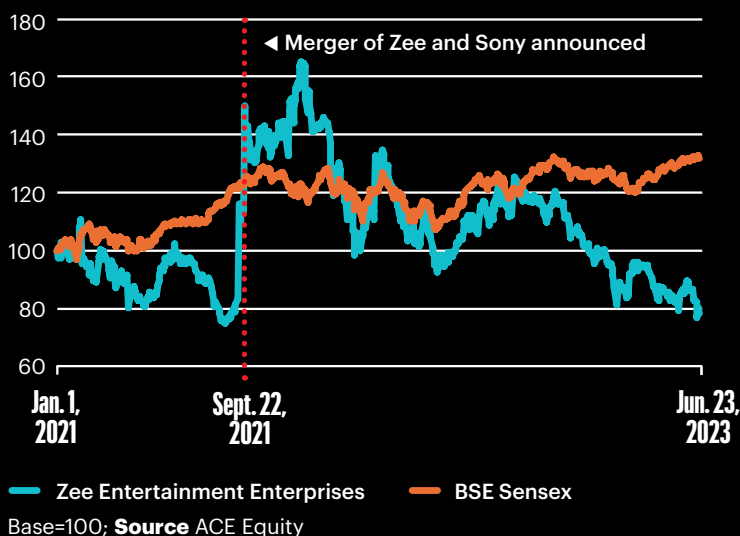
NCLT admits bankruptcy proceedings against Zee; NCLAT puts a stay on bankruptcy proceedings

governance advisory firm—says the bigger issue relates to Reserve Bank of India guidelines. “Banks, in this case YES Bank, give loans to promoters of unlisted companies based on guarantees and letters of comfort from a listed company. This is flawed as the listed company is not entirely owned by the promoter. In this case, YES Bank has knowingly given loans based on a comfort letter by the Zee Chairman.”

The father-son duo promptly appealed against the Sebi order at the Securities Appellate Tribunal (SAT). After hearing the lawyers representing Sebi and ZEEL’s promoters, the tribunal, on June 27, reserved its order, while lawyers for Chandra and Goenka had sought a stay. From a legal point of view, there are a myriad possibilities now. According to Avanti T. Chande, Partner at law firm Mind Legal, Sebi’s interim order indicates it has found substantial evidence regarding alleged misconduct or violation of regulations. “Challenging the order through an appeal is the only viable legal option available to ZEEL,” she says. In the process, a stay will allow the company to continue its operations without feeling the impact of any restriction. “That said, it is important to note that this does not imply exoneration from the underlying allegations but merely

HIGHS & LOWS

After hitting a high following the announcement of the Zee-Sony merger, ZEEL’s shares nosedived vis-à-vis the benchmark index



provides temporary relief while the legal proceedings continue.”

MERGER AND MORE

How did the merger come about? In mid-2021, ZEEL was mired in a battle with Invesco, an Atlanta-based investment management firm that held an 18 per cent stake in the company. The accusations were seri-

ous and again related to corporate misgovernance at ZEEL. In that backdrop, the market was caught off guard when, in an announcement to the stock exchanges in the third week of September, the ZEEL board approved a merger between Sony Pictures Network India and itself. The combined entity—with Goenka at the helm—would have